Cafe Paris

Pricing Recommendations 2023-2025

Problem Statement:

A significant decrease in profit margin across the portfolio, has been attributed primarily to rising Cost of Goods Sold (COGS), tariffs and other factors. Review the portfolio across the 2023–2025 Order data to make recommendation in our pricing strategy.

Tasks:

- Identifying all products with a Gross Margin % (GMP) below 30% in Q3 2025.
- Creating a dashboard showing Year-over-Year GMP, Revenue by Category, Product and Region.
- Providing clear, data-backed recommendations on which items require a price increase or discontinuation.

Based on the Gross Margin Percentage (GMP) analysis, the following actionable recommendations are proposed to improve product profitability and address rising costs:

1. Discontinue or Increase Prices for Low-Margin Products

- The following accessories and merchandise currently operate well below the ***30% margin benchmark***. These products should be ***immediately reviewed and either discontinued*** or subject to a ***significant price increase (approximately 25% or more***) to ***improve their margins.***
- **Chemex Filters (100 Pack) – 16.31% margin *LOWEST***
- **Minimalist Keychain – 16.35% margin**
- **Logo Hoodie (Black) – 16.61% margin**

ProductName	2023	2024	2025	Total
Chemex Filters (100 pack)	20.00%	16.00%	12.00%	**16.31%**
Minimalist Keychain	19.99%	15.98%	11.98%	**16.35%**
Logo Hoodie (Black)	20.03%	16.02%	12.03%	**16.61%**

2. Required Price Adjustment

- The ***Gooseneck Electric Kettle*** requires a ***price increase*** to restore its ***Gross Margin Percentage above the 30% target threshold***, ensuring the product remains a ***profitable*** contributor to the product portfolio.

ProductName	2023	2024	2025	Total
Chemex Filters (100 pack)	20.00%	16.00%	12.00%	**16.31%**
Minimalist Keychain	19.99%	15.98%	11.98%	**16.35%**
Logo Hoodie (Black)	20.03%	16.02%	12.03%	**16.61%**
Gooseneck Electric Kettle	32.29%	28.91%	25.52%	**29.07%**
Branded Ceramic Mug (Large)	34.54%	31.26%	27.99%	**31.82%**
Pour-Over Starter Kit	35.43%	32.20%	28.97%	**32.46%**
Single-Origin Ethiopian (250g)	40.74%	37.77%	34.81%	**37.87%**
Espresso Bean Sampler Pack	42.92%	40.06%	37.21%	**40.46%**
Monthly Dark Roast Subscription	47.85%	45.24%	42.63%	**45.28%**
Automated Drip Brewer	48.91%	46.36%	43.81%	**46.34%**
Digital Coffee Scale	50.35%	47.87%	45.39%	**48.17%**
Hand Grinder (Travel Size)	53.50%	51.18%	48.85%	**51.25%**

3. Rationale

- These actions are recommended because the ***rising Cost of Goods Sold (COGS)*** has ***reduced margins*** across these items, making them ***unprofitable*** or structurally weak contributors to overall profit. Implementing these adjustments will help ***strengthen overall profitability*** and maintain sustainable margins to boost business performance and profits.